



VIPUL SHAH

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Upgrade from Broadband to Dial-up

Pre-1995, the Internet was not officially available to most mortals in India. You'd have to cheat your way through NCST disguised as a Unix student, and get access to their HP-9000 connected to the Internet.

VSNL made the Internet available in 1995 via the UNIX shell, and later on, in 1996 through TCP/IP dial-up accounts, operating at 9,600 bps. Up until 1999, we used dial-up Internet, operating at 56 Kbps. The cost was exorbitant: the phone call charges, coupled with the ISP's charges, made for Rs 30 per hour of Internet usage.

In 2000, Internet access via cable modem, became available through the local cable mafia. These services proved popular: 33 Kbps always-on unlimited Net usage for about Rs 300 per month, and 64 Kbps for Rs 900. The service was not perfect, and there were downtimes; but this was, any day, better than the phone bills that ran into thousands.

The year 2002 saw such corporate national ISPs as Hathway and Sify emerge as major broadband providers. Sify started branding and managing cable-owned ISP operations. Cable operators became resellers for these ISPs, and the ISPs got the go-ahead from the cable mafia to operate in their areas.

And then, suddenly, they informed you of the good news: instead of paying a flat monthly rate, you'd pay for only what you use—and that would be like Rs 2 or 3 per MB of data transfer.

People now began using their always-on broadband connections very carefully, to just read e-mail or news, and avoided all bandwidth-hungry applications—contrary to the concept of broadband.

Since the only alternative was very expensive dial-up, this Rs 2-3 per MB racket continued until late 2003. India was probably the only country where downloading pirated MP3s was more expensive than buying the original CD: a 72-minute MP3 file download would cost in the region of Rs 170, whereas the original CD sells for much less.

Then, out of nowhere, MTNL (Mumbai) announced phone lines for Rs 500 per month

for unlimited calls to any ISP. If you used Rolta's unlimited plan, it would cost Rs 500 for the MTNL line, plus Rs 170 for the Rolta plan, totalling Rs 670 a month for a 24-hour 56 Kbps connection. Compare this with Sify's best offer of Rs 999 per month for 32 Kbps unlimited; Or you could opt for Sify's 128 Kbps packages, where it's still more than Rs 2 per MB of usage. Looks like it's time for people to abandon their 'Broadband 32 kbps' connection, and upgrade to 56 Kbps dial-up.

When I spoke to Sify for this column, the response I got was, "Sify's focus is providing broadband services at 64 kbps and above. Sify's rate of Rs 2 to Rs 3 per MB is appropriate given the quality of service and user experience."

Broadband ISPs in India have their problems. They don't like the cable mafia through whom they operate, but they don't have a choice. The government has been sitting over proposals to open up phone lines for DSL to ISPs like it is all over the world. And that leaves cable as the only viable mode of delivering bandwidth to residences. International connectivity for these ISPs is still a duopoly, which keeps bandwidth prices many times what it costs in other Asian countries. Peering of traffic by national exchange is strongly resisted by the largest ISPs, and so data from one Indian ISP to another usually travels via the USA or Europe.

India is the only country where cable monopolies are created and encouraged because of government inaction. As the world moves from dial-up to cable internet, the exact opposite is happening in India. Every minister in this country takes a keen interest in changing or manipulating the voice traffic infrastructure, but data traffic infrastructure has received step-motherly treatment from the government and from TRAI (Telecom Regulatory Authority of India)

In the US, AOL executives have spent years of sleepless nights over the erosion of their dial-up connectivity market share to the competition—cable internet. No such fear in India.

Did I hear someone say "India Shining"? 

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